TEXORA · LECTURE SHEET

Protectionism and Free Trade

The case governments make for restricting trade, the instruments they use — tariffs, quotas, subsidies, embargoes and standards — what those instruments cost, and how multilateral negotiation through GATT and the WTO has worked to remove barriers, with the controls that surround international business.

TE-4104 · APPAREL MERCHANDISING AND INTERNATIONAL TRADE · TOPIC 7 · LEVEL 4 TERM 1

1. The economics of protectionism

Protectionism is the policy of restricting imports to shield domestic producers from foreign competition. Topic 6 established that trade based on comparative advantage raises total output; protectionism is therefore always a distributional choice — it protects identifiable domestic producers and workers at a cost spread across consumers and the wider economy.

Arguments advanced for protection

ARGUMENT	REASONING, AND ITS STANDING
Infant industry	A new industry cannot survive established foreign competition until it reaches scale and learning; temporary protection lets it mature. The strongest classical argument — but "temporary" protection is hard to withdraw, and choosing which infants will mature is difficult.
Employment protection	Imports displace domestic jobs in the competing sector. True for that sector, but protection raises prices economy-wide and invites retaliation against export jobs.
National security / strategic industries	A country should not depend on foreign supply for essentials in a crisis. Accepted in principle for genuinely strategic goods; often stretched to cover ordinary industries.
Unfair competition / dumping	Foreign firms subsidised at home, or selling below cost (dumping), compete unfairly. Trade law provides anti-dumping and countervailing remedies targeted at the practice rather than at trade itself.
Balance of payments / revenue	Restricting imports saves foreign exchange, and tariffs raise government revenue. Revenue is real for tariffs; exchange saved by restriction is offset if exports fall in reply.

Terms of trade (large country)	A large importer can force world prices down with a tariff, improving its terms of trade — at partners' expense, and only until they retaliate.

The cost side

Every instrument raises the domestic price of the protected good above the world price, directly or indirectly. Consumers pay more and consume less; resources are drawn into the protected, higher-cost activity and out of the comparative-advantage activity; and deadweight losses — value destroyed for everyone, gained by no one — are the economist's central objection. Protection also dulls the competitive pressure that drives productivity, and it provokes **retaliation**: one country's barrier becomes the argument for the next country's barrier against the first country's exports.

2. Instruments of protectionism

INSTRUMENT	HOW IT WORKS	PRIMARY EFFECT
Tariff	A tax on imports — specific (per unit) or ad valorem (percentage of value) — collected at the border.	Raises domestic price by the tariff amount; imports continue at the higher price; government gains revenue.
Quota	A direct limit on import quantity in a period (Topic 6).	Quantity fixed, price rises to clear the market; rents accrue to licence holders, not to government.
Subsidy	Government payment / support to domestic producers (or to exporters).	Lets domestic firms compete at lower prices without an import tax; costs the budget instead of the consumer directly.
Embargo	A complete prohibition of trade in a good, or with a country, usually for political / security reasons.	Trade falls to zero for the covered goods or partner.
Standards and technical barriers	Product, safety, labelling and certification requirements that imports must meet.	Legitimate standards protect consumers; standards designed or applied to exclude become protection in disguise — compliance cost falls hardest on small foreign suppliers.
Other non-tariff barriers	Licensing requirements, customs procedures, local-content rules, government procurement preferences, currency controls.	Each raises the cost or uncertainty of importing without a visible tax.

Voluntary export restraint (VER)	The exporting country “voluntarily” limits shipments, under pressure from the importer.	Acts like a quota, except the rents go to the foreign exporters who hold the limited rights.

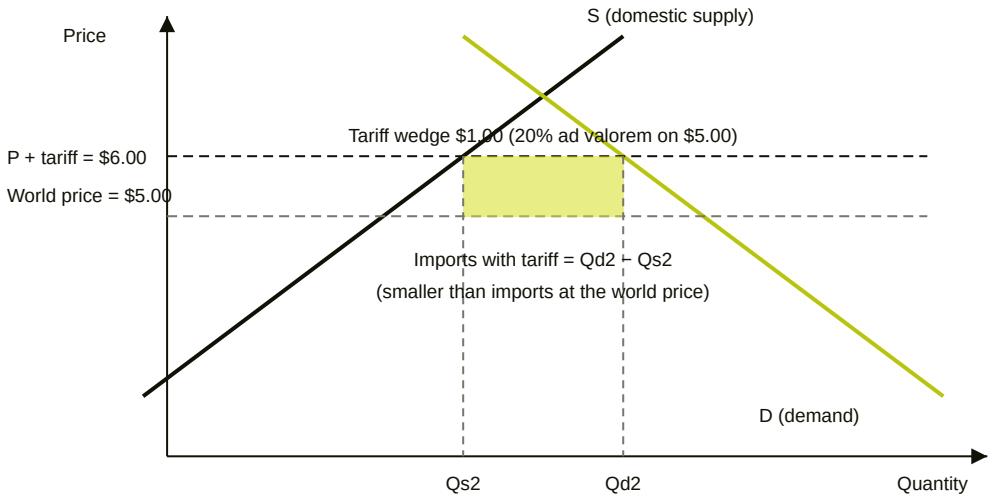


Figure 1 — The tariff price wedge (illustrative prices). A 20% ad valorem tariff on a $5.00 world price raises the domestic price to $6.00: domestic supply expands to Qs2, demand contracts to Qd2, imports shrink to the gap between them, and the shaded band on the import quantity is the government’s revenue per unit — the $1.00 wedge.

3. Free trade and multilateral negotiation

Free trade is trade without government restriction beyond ordinary regulation — the policy counterpart of protectionism. Because unilateral barrier removal is politically difficult (the costs of opening are concentrated, the gains spread), countries liberalise mainly by **negotiated, reciprocal agreement**: each side’s exporters gain access in exchange for the other side’s, creating a domestic constituency for openness. Negotiation takes three forms: **multilateral** (many countries together, through GATT / WTO rounds), **regional** (free-trade areas and customs unions among neighbours or partners), and **bilateral** (one-to-one agreements). Removing barriers in practice means: binding and reducing tariff ceilings, eliminating quotas, disciplining subsidies and non-tariff barriers, and agreeing rules — on customs valuation, standards, safeguards and dispute settlement — so that access once granted cannot be quietly withdrawn.

4. From GATT to the WTO

STAGE	WHAT IT IS
GATT (1947 agreement)	The General Agreement on Tariffs and Trade: a treaty of rules — most-favoured-nation (MFN) treatment, national treatment, tariff bindings — under which members

	negotiated successive *rounds* of tariff reductions. GATT was an agreement with a small secretariat, not a full organisation, and its rules centred on goods.
Negotiating rounds	Periodic multilateral negotiations under GATT progressively cut industrial tariffs and began addressing non-tariff barriers; the final, broadest round (the Uruguay Round) extended the system to agriculture, textiles, services and intellectual property.
WTO (from 1995)	The World Trade Organization, created by the Marrakesh Agreement concluding the Uruguay Round: a full organisation administering the GATT (updated as GATT 1994) plus agreements on services (GATS) and trade-related intellectual property (TRIPS), with a binding dispute-settlement system.
WTO principles today	Non-discrimination (MFN and national treatment), reciprocity in negotiation, bound and transparent commitments, and special and differential treatment recognising developing countries' need for longer transitions and flexibility.

MFN IN ONE LINE

Most-favoured-nation treatment means a concession granted to one member is granted to all members — the rule that turns bilateral bargains into multilateral liberalisation, and the engine of the GATT / WTO system.

5. Controlling international business

Free trade is not unregulated trade. Governments control international business through a standing apparatus within which merchandisers operate daily:

- **Customs law and tariff schedules** — classification, valuation and duty collection at the border (Topic 5's C&F work happens inside this system).
- **Import / export licensing and foreign-exchange regulation** — registration of traders, control of payments through authorised banks, and documentation of every transaction (Topic 8).
- **Trade remedies** — anti-dumping duties, countervailing duties against subsidised imports, and safeguard measures against import surges, each governed by WTO-consistent procedures.
- **Standards, health and safety regulation** — legitimate regulation that traders must satisfy, disciplined internationally so it is not applied as disguised protection.
- **Export controls** — restrictions on strategic goods, destinations and sanctioned parties, where the embargo instrument (Section 2) is applied.

For the apparel merchandiser the controls appear as concrete duties: correct tariff classification of garments and fabrics, accurate origin claims, compliance with buyer-country labelling and product-safety rules, and complete trade documentation — the point where trade policy becomes office work.

Glossary

TERM	MEANING
Protectionism	Policy restricting imports to shield domestic producers from foreign competition.
Tariff	A tax on imports, specific (per unit) or ad valorem (percentage of value).
Dumping	Exporting at a price below normal value / cost, against which anti-dumping duties may be applied.
Embargo	A complete prohibition of trade in specified goods or with a specified country.
GATT	The General Agreement on Tariffs and Trade (1947): the treaty framework for post-war tariff negotiation.
WTO	The World Trade Organization (from 1995): the organisation administering the multilateral trading system and its dispute settlement.
MFN	Most-favoured-nation treatment: a concession to one member extended to all members.

Key points and summary

- Protectionism is a distributional choice: identifiable producers gain; consumers, exporters facing retaliation and overall efficiency lose.
- The infant-industry argument is the strongest case for protection and still demands temporariness and selection discipline.
- Instruments differ in mechanism: tariffs tax (revenue to government), quotas limit quantity (rents to licence holders), subsidies support from the budget, embargoes prohibit, standards and licensing restrict less visibly.
- A tariff drives a wedge between world and domestic price, shrinking imports to the gap between domestic demand and supply at the higher price.
- Barriers fall mainly by reciprocal negotiation — multilateral under GATT rounds and now the WTO, whose MFN rule multilateralises every concession.
- International business remains controlled trade: customs, licensing, exchange regulation, trade remedies and standards form the operating environment of every export order.

Practice

Answer in your own words; brief model answers follow.

1. A good’s world price is $8.00. An ad valorem tariff of 25% is imposed. Calculate the domestic price and the tariff collected per unit. If the tariff is replaced by a quota that produces the same domestic price, state one difference in who receives the $2.00 wedge.
2. Classify each measure as tariff, quota, subsidy, embargo or standard: (a) a 15% duty on imported shirts; (b) a rule that imported garments must pass a specified flammability test; (c) a total ban on trade with a named country; (d) a payment to domestic mills per metre of fabric produced.
3. Explain the infant-industry argument and state the two conditions that make it defensible.
4. Why does MFN treatment make a multilateral round more powerful than the same concessions negotiated bilaterally?

Answer key

1. Domestic price = 8.00 × 1.25 = $10.00; tariff per unit = $2.00, collected by the government. Under an equivalent quota the $2.00 difference between world and domestic price becomes quota rent to whoever holds the import rights, not government revenue.
2. (a) Tariff. (b) Standard / technical barrier. (c) Embargo. (d) Subsidy.
3. A new industry may fail against established foreign rivals before reaching efficient scale, so temporary protection can allow a genuinely viable industry to establish itself. It is defensible only if the industry can become competitive when protection ends, and protection is actually removed on schedule.
4. Because every concession is automatically extended to all members, one negotiation liberalises trade among the whole membership at once; bilateral deals would fragment access into a web of different terms and leave non-parties excluded.

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